LOAN NUMBER 9619-BR

Loan Agreement

(Brazil: Support to New *Bolsa Família* Conditional Cash Transfer Program)
(*Apoio ao Novo Programa Bolsa Família*)

between

FEDERATIVE REPUBLIC OF BRAZIL

and

INTERNATIONAL BANK FOR RECONSTRUCTION AND DEVELOPMENT

LOAN NUMBER 9619-BR

LOAN AGREEMENT

AGREEMENT dated as of the Signature Date between FEDERATIVE REPUBLIC OF BRAZIL ("Borrower") and INTERNATIONAL BANK FOR RECONSTRUCTION AND DEVELOPMENT ("Bank"). The Borrower and the Bank hereby agree as follows:

ARTICLE I — GENERAL CONDITIONS; DEFINITIONS

1.01. The General Conditions (as defined in the Appendix to this Agreement) apply to and form part of this Agreement.

1.02. Unless the context requires otherwise, the capitalized terms used in this Agreement have the meanings ascribed to them in the General Conditions or in the Appendix to this Agreement.

ARTICLE II — LOAN

2.01. The Bank agrees to lend to the Borrower the amount of three hundred million Dollars (USD 300,000,000), as such amount may be converted from time to time through a Currency Conversion ("Loan"), to assist in financing the project described in Schedule 1 to this Agreement ("Project").

2.02. The Borrower may withdraw the proceeds of the Loan in accordance with Section III of Schedule 2 to this Agreement. The Borrower's Representatives for the purpose of taking any action required or permitted to be taken pursuant to this Section are either (a) the Undersecretary for Public Debt, the Manager of External Debt Operations, or the General Coordinator of the Public Debt Operations General Coordination, in each case of the Brazilian National Treasury Secretariat of the Ministry of Finance, or (b) any person or persons any of them shall designate.

2.03. The Front-end Fee is one quarter of one percent (0.25%) of the Loan amount.

2.04. The Commitment Charge is one quarter of one percent (0.25%) per annum on the Unwithdrawn Loan Balance.

2.05. The interest rate is the Reference Rate plus the Variable Spread or such rate as may apply following a Conversion; subject to Section 3.02(e) of the General Conditions.

2.06. The Payment Dates are March 15 and September 15 in each year.

2.07. The principal amount of the Loan shall be repaid in accordance with Schedule 3 to this Agreement.

2.08. The Borrower may request the Conversions of Loan terms through its Secretariat of the National Treasury of the Ministry of Finance.

ARTICLE III — PROJECT

3.01. The Borrower declares its commitment to the objective of the Project. To this end, the Borrower shall carry out the Project through MDS, in accordance with the provisions of Article V of the General Conditions and Schedule 2 to this Agreement.

ARTICLE IV — REMEDIES OF THE BANK

4.01. The Additional Event of Suspension consists of the *Bolsa Família* Program having been amended, suspended, abrogated, repealed or waived so as to affect materially and adversely, in the opinion of the Bank, the carrying out of the Project or the achievement of the objectives thereof.

ARTICLE V — EFFECTIVENESS; TERMINATION

5.01. The Additional Conditions of Effectiveness consist of the following:

(a) that the PIU has been established in a manner acceptable to the Bank; and
(b) that the Project Operations Manual has been adopted by the Borrower in a manner acceptable to the Bank.

5.02. The Effectiveness Deadline is one hundred twenty (120) days after the Signature Date.

ARTICLE VI — REPRESENTATIVE; ADDRESSES

6.01. Except as provided in Section 2.02 of this Agreement and in the ESCP, the Borrower's Representative is its Minister of Finance.

6.02. For purposes of Section 10.01 of the General Conditions:

(a) the Borrower's address is:

Ministério da Fazenda
Procuradoria-Geral da Fazenda Nacional
Esplanada dos Ministérios, Bloco "P" - 8º andar
Brasília, DF, 70048-900
Brasil
and

(b) the Borrower's Electronic Address is:

E-mail: apoiocof.df.pgfn@pgfn.gov.br

With copies to:

Ministério do Desenvolvimento e Assistência Social, Família e Combate à Fome
Esplanada dos Ministérios, Bloco "A"- 1º andar
Brasília, DF, 70050-901
Brasil

E-mail: cgaa@mds.gov.br
dnp@mds.gov.br

SEAID - Secretaria de Assuntos Internacionais e Desenvolvimento do Ministério do Planejamento e Orçamento
Esplanada dos Ministérios, Bloco K - 8º andar
Brasília, DF, 70040-906
Brasil

E-mail: cofiex@economia.gov.br

Ministério da Fazenda
Secretaria do Tesouro Nacional
Coordenação-Geral de Controle da Dívida Pública
Esplanada dos Ministérios, Bloco P, Ed. Anexo, Ala A – 1º andar, sala 121
Brasília, DF, 70048-900

E-mail: gecod.codiv.df.stn@tesouro.gov.br
codiv.df.stn@tesouro.gov.br

6.03. For purposes of Section 10.01 of the General Conditions:

(a) the Bank's address is:

International Bank for Reconstruction and Development
1818 H Street, N.W.
Washington, D.C. 20433
United States of America; and

(b) the Bank's Electronic Address is:

E-mail: jzutt@worldbank.org

With copy to:

E-mail: informacao@worldbank.org

AGREED as of the Signature Date.

FEDERATIVE REPUBLIC OF BRASIL

By

Suely Dib de Sousa e Silva

Authorized Representative

Name: Suely Dib de Sousa e Silva

Title: Attorney of the National Treasury

Date: 31-dez-2024

INTERNATIONAL BANK FOR RECONSTRUCTION AND DEVELOPMENT

By

Authorized Representative

Name: Johannes Zutt

Title: Country Director

Date: 30-Dec-2024

SCHEDULE 1

Project Description

The objective of the Project is to protect the income of poor families with children from zero (0) to six (6) years of age and mitigate risks that might damage those children's human capital.

The Project consists of the following part:

Part 1. First Childhood Benefit

Provision of conditional cash transfers to Eligible Beneficiaries in the form of the First Childhood Benefit for families with children from zero (0) to six (6) years of age.

SCHEDULE 2

Project Execution

Section I. <u>Implementation Arrangements</u>

A. Institutional Arrangements.

1. The Borrower, through MDS, shall establish and thereafter operate and maintain, throughout the implementation of the Project, a Project Implementation Unit (the "PIU") within MDS with functions, resources and composition acceptable to the Bank, as set forth in the Project Operations Manual and the ESCP.

2. The Borrower shall engage and maintain a Financial Institution throughout the implementation of the Project to ensure that it provides the First Childhood Benefit to Eligible Beneficiaries in accordance with the provisions of the Project Operations Manual and the BF Program.

B. Project Operations Manual.

1. The Borrower, through MDS, shall:

   (a) adopt and thereafter carry out the Project in accordance with a manual (the "Project Operations Manual"), which shall include the rules, methods, guidelines, standard documents and procedures for the carrying out of the Project, including, *inter alia*, the following: (i) specific provisions on detailed arrangements for carrying out the Project; (ii) the functions, resources and composition of the PIU; (iii) Project administrative, accounting, auditing, reporting, financial (including cash flow aspects in relation thereto), and disbursement procedures, including the preparation of the final report; (iv) the monitoring indicators for the Project; and (v) the criteria for the identification of the Eligible Beneficiaries and First Childhood Benefits; and

   (b) not amend, suspend, abrogate, repeal or waive any provision of said Project Operations Manual without the prior written approval of the Bank.

2. In case of any conflict between the terms of the Project Operations Manual and this Agreement, the terms of this Agreement shall prevail.

C. Environmental and Social Standards.

1. The Borrower, through MDS, shall ensure that the Project is carried out in accordance with the Environmental and Social Standards, in a manner acceptable to the Bank.

2. Without limitation upon paragraph 1 above, the Borrower, through MDS, shall ensure that the Project is implemented in accordance with the Environmental and Social Commitment Plan ("ESCP"), in a manner acceptable to the Bank. To this end, the Borrower shall ensure that:

    (a) the measures and actions specified in the ESCP are implemented with due diligence and efficiency, as provided in the ESCP;

    (b) sufficient funds are available to cover the costs of implementing the ESCP;

    (c) policies and procedures are maintained, and qualified and experienced staff in adequate numbers are retained to implement the ESCP, as provided in the ESCP; and

    (d) the ESCP or any provision thereof, is not amended, repealed, suspended or waived, except as the Bank shall otherwise agree in writing as specified in the ESCP, and ensure that the revised ESCP is disclosed promptly thereafter.

3. In case of any inconsistencies between the ESCP and the provisions of this Agreement, the provisions of this Agreement shall prevail.

4. The Borrower, through MDS, shall ensure that all measures necessary are taken to collect, compile, and furnish to the Bank through regular reports, with the frequency specified in the ESCP, and promptly in a separate report or reports, if so requested by the Bank, information on the status of compliance with the ESCP and the environmental and social instruments referred to therein, all such reports in form and substance acceptable to the Bank, setting out, *inter alia*: (a) the status of implementation of the ESCP; (b) conditions, if any, which interfere or threaten to interfere with the implementation of the ESCP; and (c) corrective and preventive measures taken or required to be taken to address such conditions.

5. The Borrower, through MDS, shall establish, publicize, maintain and operate an accessible grievance mechanism as set out in the ESCP, to receive and facilitate resolution of concerns and grievances of Project-affected people, and take all measures necessary and appropriate to resolve, or facilitate the resolution of, such concerns and grievances, in a manner acceptable to the Bank.

Section II. <u>Project Monitoring Reporting and Evaluation</u>

The Borrower, through MDS, shall furnish to the Bank each Project Report not later than sixty (60) days after the end of each calendar semester, covering the calendar semester, as further detailed in the Project Operations Manual.

Section III. <u>Withdrawal of Loan Proceeds</u>

A. General.

Without limitation upon the provisions of Article II of the General Conditions and in accordance with the Disbursement and Financial Information Letter, the Borrower may withdraw the proceeds of the Loan to: (a) finance Eligible Expenditures; and (b) pay: (i) the Front-end Fee; and (ii) each Interest Rate Cap or Interest Rate Collar premium; in the amount allocated and, if applicable, up to the percentage set forth against each Category of the following table:

<u>Category</u>	**Amount of the Loan Allocated (<u>expressed in USD</u>)**	**Percentage of Expenditures to be reimbursed or financed (<u>inclusive of Taxes</u>)**
(1) Payment of the First Childhood Benefit to Eligible Beneficiaries	299,250,000	100%
(2) Front-end Fee	750,000	Amount payable pursuant to Section 2.03 of this Agreement in accordance with Section 2.07 (b) of the General Conditions
(3) Premia for Interest Rate Caps and Interest Rate Collars	0	Amount due pursuant to Section 4.05 (c) of the General Conditions
TOTAL AMOUNT	300,000,000	

B. Withdrawal Conditions; Withdrawal Period.

1. Notwithstanding the provisions of Part A above, no withdrawal shall be made for payments made prior to the Signature Date, except that withdrawals up to an aggregate amount not to exceed sixty million Dollars (USD 60,000,000) may be made for payments made prior to this date but on or after the date falling twelve

(12) months before the Signature Date provided that such date is not earlier than March 3, 2023, for Eligible Expenditures.

2. The Closing Date is April 30, 2026.

SCHEDULE 3

Commitment-Linked Amortization Repayment Schedule

The following table sets forth the Principal Payment Dates of the Loan and the percentage of the total principal amount of the Loan payable on each Principal Payment Date ("Installment Share").

Level Principal Repayments

Principal Payment Date	Installment Share
On each March 15 and September 15 Beginning March 15, 2029 through March 15, 2041	3.85%
On September 15, 2041	3.75%

APPENDIX

Definitions

1. "Anti-Corruption Guidelines" means, for purposes of paragraph 6 of the Appendix to the General Conditions, the "Guidelines on Preventing and Combating Fraud and Corruption in Projects Financed by IBRD Loans and IDA Credits and Grants", dated October 15, 2006, and revised in January 2011 and as of July 1, 2016.

2. "BF Legislation" means the Borrower's Law no. 14.601, of 19 June 2023, establishing the *Bolsa Família* Program.

3. "*Bolsa Família* Program" or "BF Program" means the Borrower's program established to provide assistance to poor families through, *inter alia*, the provision of conditional cash transfers to Eligible Beneficiaries in the form of the First Childhood Benefit, as set out in the BF Legislation, or any successor thereto acceptable to the Bank.

4. "Category" means a category set forth in the table in Section III.A of Schedule 2 to this Agreement.

5. "Eligible Beneficiaries" means the families that have children from zero (0) to six (6) years of age and that meet the eligibility criteria and have been selected to receive a First Childhood Benefit under the BF Program, in accordance with the selection criteria and process set forth in the Project Operations Manual.

6. "Environmental and Social Commitment Plan" or "ESCP" means the environmental and social commitment plan for the Project, dated October 19, 2023, as the same may be amended from time to time in accordance with the provisions thereof, which sets out the material measures and actions that the Borrower shall carry out or cause to be carried out to address the potential environmental and social risks and impacts of the Project, including the timeframes of the actions and measures, institutional, staffing, training, monitoring and reporting arrangements, and any environmental and social instruments to be prepared thereunder.

7. "Environmental and Social Standards" or "ESS" means, collectively: (i) "Environmental and Social Standard 1: Assessment and Management of Environmental and Social Risks and Impacts"; (ii) "Environmental and Social Standard 2: Labor and Working Conditions"; (iii) "Environmental and Social Standard 3: Resource Efficiency and Pollution Prevention and Management"; (iv) "Environmental and Social Standard 4: Community Health and Safety"; (v) "Environmental and Social Standard 5: Land Acquisition, Restrictions on Land Use and Involuntary Resettlement"; (vi) "Environmental and Social Standard 6: Biodiversity Conservation and Sustainable Management of Living Natural

Resources"; (vii) "Environmental and Social Standard 7: Indigenous Peoples/Sub-Saharan Historically Underserved Traditional Local Communities"; (viii) "Environmental and Social Standard 8: Cultural Heritage"; (ix) "Environmental and Social Standard 9: Financial Intermediaries"; (x) "Environmental and Social Standard 10: Stakeholder Engagement and Information Disclosure"; effective on October 1, 2018, as published by the Bank at https://www.worldbank.org/en/projects-operations/environmental-and-social-framework.

8. "Financial Institution" means *"Caixa Econômica Federal",* or, with the prior approval of the Bank, any other financial institution controlled by the Borrower allowed to act as an agent of the Borrower under the BF Program.

9. "First Childhood Benefit" or "*Benefício Primeira Infância*" is a form of conditional cash transfer with the meaning ascribed to it in Article 7(§1º)(III) of the BF Legislation, as it may be amended pursuant to Paragraph (§3º)(I) of the same provision, or any successor thereto acceptable to the Bank.

10. "General Conditions" means the "International Bank for Reconstruction and Development General Conditions for IBRD Financing, Investment Project Financing", dated December 14, 2018 (last revised on July 15, 2023).

11. "MDS" means the Borrower's Ministry of Development, Social Assistance, Family, and Hunger Alleviation (*Ministério do Desenvolvimento e Assistência Social, Família e Combate à Fome*), establishing and operating pursuant to Borrower's Law 14.600, dated June 19, 2023, or any successor thereto acceptable to the Bank.

12. "PIU" means *Unidade de Implementação do* Projeto, the unit within MDS referred to in Section I.A.1 of Schedule 2 to this Agreement, or any successor thereto acceptable to the Bank.

13. "Project Operations Manual" means the Borrower's manual, acceptable to the Bank, set forth in Section I.B. of Schedule 2 to this Agreement.

14. "Signature Date" means the later of the two dates on which the Borrower and the Bank signed this Agreement and such definition applies to all references to "the date of the Loan Agreement" in the General Conditions.